NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-II), CHANDIGARH

CA (CAA) No. 32/Chd/Pb/2024
(First Motion)

Under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF AMALGAMATION BETWEEN:

LOTUS CORPORATE SOLUTIONS PRIVATE LIMITED
Registered Office at: 93, Industrial Area- A,
Ludhiana, Punjab India, 141003
Through Taranjot Singh, Authorised Signatory,
CIN: U72900PB2014PTC038719
PAN: AACCL7002L

...APPLICANT COMPANY 1/ TRANSFEROR COMPANY 1

AND

TRIDENT EPC LIMITED
Registered Office at: LITL, Textile Park, Mansa Road Dhaula,
Sangrur, Barnala, Punjab, India, 148107
Through Taranjot Singh, Authorised Signatory,
CIN: U45209PB2014PLC038692
PAN: AACCL7002L

...APPLICANT COMPANY 2/ TRANSFEROR COMPANY 2

AND

MINTLEAF PEOPLE CONNECT LIMITED
Registered Office at: Arun Memorial Community & Cultural Centre,
Raikot Road, Under Flyover, Sangrur, Barnala, Punjab, India, 148101
Through Taranjot Singh, Authorised Signatory,
CIN: U74999PB2022PLC056605
PAN: AAQCM0649E

... Applicant Company 3/ Transferor Company 3

AND

MYTRIDENT.COM LIMITED
Registered Office: Trident Group, Sanghera, Sangrur,
Barnala, Punjab, India 148101
Through Rahul Sharma, Authorised Signatory,
CIN: U52520PB2021PLC054427
PAN: AAPCM0656C

... APPLICANT COMPANY 4/ TRANSFEREE COMPANY

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order delivered on: 22.10.2024

Coram: HON'BLE SH. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE SH. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

Present

For the Petitioner Companies: Mrs. Munisha Gandhi, Senior Advocate, with Mr. Nahush Jain, Ms. Salina Chalana and Mr, Brijesh Jangra, Advocates

Per: Harnam Singh Thakur, Member (Judicial)
Umesh Kumar Shukla, Member (Technical)

ORDER

This Company Application is a Joint First Motion Company Application filed under sections 230 to 232 of the Companies Act, 2013 (hereinafter referred to as the "Act") read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as the "Rules") by **Lotus Corporate Solutions Private Limited** (hereinafter referred to as the "Applicant Company 1" or "Transferor Company 1" or "LCSPL"), **Trident EPC Limited** (hereinafter referred to as the "Applicant Company 2" or "Transferor Company 2" or "TEL"), **Mintleaf People**

Connect Limited (hereinafter referred to as the "Applicant Company 3" or "Transferor Company 3" or "MPCL"), and **MyTrident.com Limited** (hereinafter referred to as the "Applicant Company 4" or "Transferee Company" or "My Trident") (hereinafter Collectively referred to as the "Applicant Companies") in respect of the Scheme of amalgamation between the Applicant Companies and their respective Shareholders and Creditors (hereinafter referred to as the "Scheme"). The copy of Scheme has been attached as Annexure D of the Application.

2. The Applicant Companies has prayed for seeking for dispensation with the requirement for convening the meetings of the Equity Shareholders, Preference Shareholders, and Unsecured Creditors of the Applicant Companies and also to dispense with the requirement of issue and publication of the notices for the same. The Applicant Companies have also prayed to issue the directions for sending the notices to the Central Government through Regional Director, Northern Region, Ministry of Corporate Affairs, Jurisdictional Registrar of Companies, Income Tax Department through Nodal Officer-Chief Commissioner of Income Tax and Official Liquidator seeking their representation, if any on the Scheme.

3. The registered offices of all the Applicant Companies are situated in the State of Punjab, therefore, this Application is under the territorial jurisdiction of this Bench.

FACTS OF THE CASE

4. The brief facts, as stated in the Application, has been summarized below:

(i) The Applicant Company 1 is a private limited company incorporated on 03.07.2014 in terms of the provisions of the Companies Act, 2013 under the name titled as 'Lotus Corporate Solutions Private Limited'. Its main

objects, as per clause III(A) of its Memorandum of Association, are as below:

"III (A). THE MAIN OBJECTS OF THE COMPANY TO BE PURSUED BY THE COMPANY ON ITS INCORPORATION ARE:

1. To carry on the business of providing information Technology services, IT enabled business services, Web enabled IT Applications/ software solutions, Hardware / Software and accessories, consultancy services, providing corporate solutions, manpower services, providing employees (skilled or unskilled) on contractual basis and Merchant Bankers, Consultants for Capital Issues, Advisors to capital Issues and to provide services of underwriting, depositories, custodians, registrar & share transfer agent and all related Organisations and to provide other IT enabled services,

2. To act as one stop solution providers in all matters relating to all kinds of corporate administrative services, hospitality services, facility management services, maintaining guest houses/ rooms, running & maintenance of canteens, messes & kitchen, pantry management, housekeeping services, pest management, dry cleaning & laundry services, home care, maintenance and engineering handyman services, dispatch and courier management services, acting as travel agents & operators, hirers of motor & other vehicles, security services by providing security guards(armed/unarmed) for security purpose to individuals, body corporates, association of persons, offices, business houses, hotels, resorts, lodgings, shopping malls, beauty parlours, hospitals, clinics etc and to provide manpower (skilled, unskilled, managerial, blue collar or white collar) related services to other organisations on lumpsum or contractual basis.

3. To carry on the business of retailing, acquiring dealing in, buying, selling, storing, importing & exporting all kinds of :

a. Textiles, textile products, yarns, cotton yarn, spun, synthetic, polyester, acrylic, dyed yarn, combed, gassed ercerized varn, silk, wool, knitted fabric, fibres, dyes, cloth, leather, garments, readymade garments. Cushions, pillows, mattresses, canvas, terry towels, terry products, bath robes, terry cloth, shearing cloth and derivatives, by-products, intermediates and mixtures thereof.

b. Paper, paper products including but not limited to writing & printing paper, maplitho paper, kraft paper, bond paper, glaced paper, pulp, paper and pulp based products, wood based paper, packing materials, card board, printing inks and derivatives, by-products, intermediates and mixtures thereof.

c. Any type of goods or merchandise of any description whether manufactured by the Company or not and to deal in all type of industries."

It is noted that clause 3, as above, has been added to the object clause vide Special Resolution passed in the Annual/ Extra Ordinary General Meeting held on 15.03.2023, for which Certificate of Registration was issued by Registrar Of Companies, Punjab & Chandigarh on 28.04.2023.

Sub Clause 24 of Object Clause III(b) of its Memorandum of Association authorises it to amalgamate with any other company as below:

> *"24. To amalgamate with any other Company whose objects are, or include objects similar and/or different to those of this Company whether by sale or purchase for fully or partly paid-up shares or otherwise, of the undertaking subject to the liabilities of this or any such other Company as aforesaid, with or without winding up or by sale or purchase (for fully or partly paid-up shares or otherwise) of all or a controlling interest in the shares or stock of this or any other Company as aforesaid or in any other manner."*

Its share capital, as on 30.06.2024, is as under:

Authorised Share Capital

INR 1,00,000/- (Indian Rupees One Lakh Only) divided into 10,000 (Ten Thousand) equity shares of face value INR 10/- (Indian Rupees Ten Only) each.

INR 12,14,00,000 (Indian Rupees Twelve Crore Fourteen Lakhs Only) divided into 1,21,40,000 (One Crore Twenty-One Lakhs Forty Thousand) preference shares of INR 10/- (Indian Rupees Ten Only) each.

Issued, Subscribed and Paid-up Share Capital

INR 1,00,000/- (Indian Rupees One Lakh Only) divided into 10,000 (Ten Thousand) equity shares of face value INR 10/- (Indian Rupees Ten Only) each.

INR 2,14,00,000 (Indian Rupees Two Crore Fourteen Lakhs Only) divided into 21,40,000 (Twenty-One Lakhs Forty Thousand) preference shares of INR 10/- (Indian Rupees Ten Only).

(ii) The Applicant Company 2 is a public limited company incorporated on 23.06.2014 in terms of the provisions of the Companies Act, 2013 under the name titled as 'Lotus Engineering & Constructions Private Limited', which was changed to 'Trident EPC Private Limited' vide Certificate dated 28.12.2021 issued by Registrar of Companies, Chandigarh, which was again changed to 'Trident EPC Limited' on its conversion into public company with effect from 03.01.2022. its main objects, as per clause III(A) of its Memorandum of Association, are as below:

> ***"III (A). THE MAIN OBJECTS OF THE COMPANY TO BE PURSUED BY THE COMPANY ON ITS INCORPORATION ARE:***
>
> *1. To deal in real estates, act as land developers and promoters and build infrastructure facilities of any kind and to undertake, render and provide all types of services of contractors, advisors and consultants in the field of technical, engineering, civil, industrial, labour designing, project enterprises, preparation of feasibility, market survey and project reports, drawings, plant layouts, tenders for all the plants and machinery, equipments, buildings and other structures.*
>
> *2. To carry on the business as developers, colonizers, advisors, contractors and consultants in the field of civil, industrial, technical, engineering, designing, project enterprises, preparation of feasibility, market survey reports, project reports, drawings, plant layouts and to purchase, sell, develop, take in exchange or on lease/hire or otherwise acquire, whether for investment or otherwise, acquire, any real estate or personal estate, multiplex, buildings, Mega malls, shopping complexes, Residential colonies, theaters, Cinema halls, Schools, Hospitals, Warehouses including Land, factories, Plant and Machinery, Buildings, Malls and other structures."*

Sub Clause 24 of Object Clause III(b) of its Memorandum of Association authorises it to amalgamate with any other company as below:

"24. To amalgamate with any other Company whose objects are, or include objects similar and/or different to those of this Company whether by sale or purchase for fully or partly paid-up shares or otherwise, of the undertaking subject to the liabilities of this or any such other Company as aforesaid, with or without winding up or by sale or purchase (for fully or partly paid-up shares or otherwise) of all or a controlling interest in the shares or stock of this or any other Company as aforesaid or in any other manner."

Its share capital, as on 30.06.2024, is as under:

Authorised Share Capital

INR 5,00,00,000/- (Indian Rupees Five Crores Only) divided into 50,00,000 (Fifty Lakh) equity shares of face value INR 10/- (Indian Rupees Ten Only) each.

Issued, Subscribed and Paid-up Share Capital

INR 1,00,000/- (Indian Rupees One Lakh Only) divided into 10,000 (Ten Thousand) equity shares of face value INR 10/- (Indian Rupees Ten Only) each.

(iii) The Applicant Company 3 is a public limited company incorporated on 03.08.2022 in terms of the provisions of the Companies Act, 2013 under the name titled as 'Mintleaf People Connect Limited'. Its main objects, as per clause III(A) of its Memorandum of Association, are as below:

"III (A). THE MAIN OBJECTS OF THE COMPANY TO BE PURSUED BY THE COMPANY ON ITS INCORPORATION ARE:

1. To carry on the business of Human Resource Provider and providing Manpower placement and recruiting, Selecting, Interviewing, Training and Employing all types of Executives, Middle Management Staff, Junior Level Staff, Workers, Labourers Skilled/Unskilled required by various Industries and organizations including providing security services, Labour contractors, Industrial, Commercial, Housing and other security services and workers for office management and to conduct employment bureau and to provide consultancy and other services in connection with requirements of persons and manpower supply in India and abroad.

2. To carry on the business of manpower consultant and advisors to individuals, bodies corporate, societies, undertakings, institutions, associations, government, local authorities for the recruitment of managerial personnel and other relating to the administration, organization, production, storage and marketing sales and management or industry and business and to carry on the business of industrial and business consultants.

3. To carry on the Activity of Promoting, Imparting, Launching, Creating, Designing, Adopting Traditional, Formal and Creative Means of Imparting, Inculcating , Disseminating, Diversified Skills, Education Forms and Personality Development Techniques by providing Training, Conducting Seminars, Web-Seminars, Counseling, E-Courses, Online Classes, Teaching to Schools, college, University, Private Institutions Students, Distance Education, Personal or Group Coaching & Consultancy, Personal Consultancy& Training, Business Consultancy & Training, Telephonic Consultation, Meditation Exercise, Motivational Trainings, Delivering Training Programme on Neuro Linguistic Programming, Hypnotherapy Treatments, , with the intent of carrying on the Business of Education and Skill Developments amongst the masses of India and Abroad by own self and/or through any other Individual, Association of Persons or such Body or Otherwise for self or for and on behalf of any third party under an Agreement or Understanding whether Written or Otherwise and on such terms and conditions as the Company may deem fit.

4. To carry on the activity of Consultancy Services in Managing the entire HR process right from recruitment, Interviewing and selection, placement, payroll, compliance, training till providing detailed management reports and develop human capital by better manpower planning, conduct employment bureau, competency profiling of roles and role holders, enhance the support to the Companies/Organizations as an agency by on-boarding of trained staff under its name to the various levels of the organization whether temporary or permanent on commission basis and other related ancillary services in connection therewith."

Sub Clause 24 of Object Clause III(b) of its Memorandum of Association authorises it to amalgamate with any other company as below:

"24. To amalgamate with any other Company whose objects are, or include objects similar and/or different to those of this Company whether by sale or purchase for fully or partly paid-up shares or otherwise, of the undertaking subject to the liabilities of this or any such other Company as aforesaid, with or without winding up or by sale or purchase (for fully or partly paid-up shares or otherwise) of all or a controlling interest in the shares or stock of this or any other Company as aforesaid or in any other manner."

Its share capital, as on 30.06.2024, is as under:

Authorised Share Capital

INR 15,00,000/- (Indian Rupees Fifteen Lakh Only) divided into 1,50,000 (One Lakh Fifty Thousand) equity shares of face value INR 10/- (Indian Rupees Ten Only) each.

Issued, Subscribed and Paid-up Share Capital

INR 1,00,000/- (Indian Rupees One Lakhs Only) divided into 10,000 (Ten Thousand) equity shares of face value INR 10/- (Indian Rupees Ten Only) each.

(iv) Applicant Company 4 is a public limited company incorporated on 08.10.2021 in terms of the provisions of the Companies Act, 2013 under the name titled as 'MyTrident.com Limited. Its main objects, as per clause III(A) of its Memorandum of Association, are as below:

"III (A). THE MAIN OBJECTS OF THE COMPANY TO BE PURSUED BY THE COMPANY ON ITS INCORPORATION ARE:

1. To carry on the business of buying, selling, reselling, importing, exporting, transporting, storing, promoting, marketing or supplying, trading, dealing in any manner whatsoever including on line shopping, Internet advertising and marketing, creating virtual shopping malls, stores, shops, creating shopping catalogues, providing secured payment processing, net commerce solutions for business to business and business to consumers, online trading in and outside India in all type of goods."

Sub Clause 18 of Object Clause III of its Memorandum of Association authorises it to amalgamate with any other company as below:

> *"18. To amalgamate with any other Company whose objects are, or include objects similar to those of this Company whether by sale or purchase for fully or partly paid-up shares or otherwise, of the undertaking subject to the liabilities of this or any such other Company as aforesaid, with or without winding up or by sale or purchase (for fully or partly paid-up shares or otherwise) of all or a controlling interest in the shares or stock of this or any other Company as aforesaid or in any other manner."*

Its share capital, as on 30.06.2024, is as under:

> **Authorised Share Capital**
> INR 15,00,000/- (Indian Rupees Fifteen Lakhs Only) divided into 1,50,000 (One Lakh Fifty Thousand) equity shares of face value INR 10/- (Indian Rupees Ten Only) each.
>
> **Issued, Subscribed and Paid-up Share Capital**
> INR 1,00,000/- (Indian Rupees One Lakh Only) divided into 10,000 (Ten Thousand) equity shares of face value INR 10/- (Indian Rupees Ten Only) each.

(v) The copies of Memorandum and Articles of Association of Applicant Company 1, 2, 3 and 4 have been attached as **Annexure A-1**, **Annexure A-2, Annexure A-3**, and **Annexure A-4** respectively.

(vi) The Transferor Companies and Transferee Company have maintained proper books of accounts as required by law. The copy of the Audited Financial Statements for the year ended 31.03.2024 of the Applicant Company 1, 2, 3 and 4 have been attached with the Application as **Annexure 'B-1'**, **'B-1'**, **'B-3'**, and **'B-4'** respectively. The management certified provisional financial statements as on 30.06.2024 of the Applicant Company 1, 2, 3 and 4 have been attached with the Application as **Annexure 'C-1'**, **'C-1'**, **'C-3'**, and **'C-4'.**

(vii) The Scheme has been unanimously approved by the Board of Directors of the Applicant Companies in their respective Board meeting held on 08.08.2024. The certified true copy of the Resolution passed in their respective Board meeting of the Applicant Companies have been attached with the Application as **Annexure E-1** to **Annexure E-4** respectively. The list of Directors of the Applicant Companies along with the copy of the master data from MCA portal of the Applicant Companies have been attached with the Application as **Annexure'F-1'** to **'F-4'** respectively.

(viii) The Appointed Date proposed for the Scheme is 01.04.2024, which is subject to the approval /modification, vide order of this Tribunal.

(ix) As per the Valuation report issued by report dated 07.08.2024 issued by Mr. Shreyansh M Jain, Registered Valuer (S & FA), Registration No.IBBI/RV/03/2019/12124 (attached with the Application as **Annexure G**), the Share Exchange/ Swap Ratio of shares of the Transferee Company for the shares of Transferor Companies would be as below

To equity shareholders of APPLICANT COMPANY 1 / TRANSFEROR COMPANY 1:

"34,89,131 (Thirty-Four Lakh Eighty-Nine Thousand One Hundred and Thirty-One) equity shares of MyTrident having face value of INR 10 each fully paid up shall be issued for every 100 (One Hundred) equity shares held in LCSPL having face value of INR 10 each fully paid up."

To preference shareholders of APPLICANT COMPANY 1 / TRANSFEROR COMPANY 1:

"1 (One) 6% NCNCRPS of MyTrident having face value of INR 10 each fully paid up shall be issued for every 1 (One) 6% NCNCRPS held in LCSPL having face value of INR 10 each fully paid up"

To equity shareholders of APPLICANT COMPANY 2 / TRANSFEROR COMPANY 2:

"19,97,501 (Nineteen Lakh Ninety-Seven Thousand Five Hundred and One) equity shares of MyTrident having face value of INR 10 each fully paid up shall be issued for every 100 (One Hundred) equity shares held in TEL having face value of INR 10 each fully paid up."

To equity shareholders of APPLICANT COMPANY 3 / TRANSFEROR COMPANY 3:

"1,65,123 (One Lakh Sixty-Five Thousand One Hundred and Twenty-Three) equity shares of MyTrident having face value of INR 10 each fully paid up shall be issued for every 100 (One Hundred) equity shares held in MPCL having face value of INR 10 each fully paid up."

(x) The certificate of statutory auditor of Transferor Companies and Transferee Company confirming that the accounting treatment in the scheme is in conformity with the Companies (Indian Accounting Standard) Rules, 2015 and is in conformity with Section 133 of the Companies Act, 2013 are attached with the Application as **Annexure 'K'**.

(xi) The Directors and Key Managerial Personnel of the Applicant Companies shall not be deemed to be interested in the proposed Scheme save to the extent of the shares held by them in the Applicant Companies, if any. Disclosures under Section 230(2)(a) in respect of all material facts relating to the Applicant Companies such as the latest financial position of the company and the latest auditor's report of the accounts of the Applicant Companies have been attached with the Application. Further, the proposed Scheme is not a corporate debt restructuring scheme as contemplated under section 230(2)(c), hence creditor's responsibility statement and

other requirements under Section 230(2)(c) are not applicable. Further, as per Section 230(2)(b), the proposed Scheme does include reduction of share capital of the Applicant Companies. The affidavits of the Applicant Companies under Section 230(2) of the Companies Act, 2013 have been attached with the Application as **Annexure 'L-1'** to **'L-4'** respectively.

(xii) As on the date of this Application, no investigation or proceedings under the Companies Act, 2013 or the Companies Act, 1956 are pending against the Applicant Companies. There are no legal proceedings initiated or pending against the Applicant Companies, which may cause any adverse impact on the sanction or implementation of this scheme of amalgamation, or may have any adverse impact on the Applicant Companies. The affidavits of the Applicant Companies pertaining to Legal proceedings have been attached with the Application as **Annexure 'M-1'** to **'M-4'** respectively.

(xiii) The Scheme is for the benefit of the Applicant Companies and their respective shareholders. The exchange ratio of the shares has been made on fair and reasonable basis.

(xiv) The Scheme will not adversely affect the rights of any of the creditors of the Applicant Companies in any manner whatsoever and is not in any way prejudicial to any person and is not detrimental to the interest of the public.

(xv) The Applicant Companies are not governed by any specific sectoral regulator. Therefore, no notice is required to be issued to any sectoral regulator. Further, there is no requirement for the Applicant Companies to apply to the Competition Commission of India (hereinafter referred to as

the "CCI") for approval as the threshold limits specified for the mergers and amalgamations i.e. value of turnover being acquired, taken control of, merged or amalgamated is below the threshold limits for which CCI approval is required, i.e., turnover of not more than rupees one thousand two hundred and fifty crore in India, as on the Appointed Date i.e. 01.04.2024. Affidavits of Applicant Companies with regard to the sectoral regulators have been attached with the Application as **Annexure 'N-1'** to **'N-4'** respectively. Further, specific affidavits of Applicant Companies with regards to non-applicability of CCI have also been attached with the Application as **Annexure 'O-1'** to **'O-4'** respectively.

(xvi) Post Merger capital structure of the Transferee Company has been attached with the Application as **Annexure 'P'**.

(xvii) No similar case has been filed or pending before any other forum involving the same facts between same parties.

(xviii) The rationale of the Scheme as stated in para 8 of the Scheme are as below:

> (i) The proposed amalgamation of the Transferor Companies with and into Transferee Company, would inter-alia result in the simplification of the group structure and alignment of group businesses and consolidation of the group companies in one entity thereby resulting in rationalization and standardization of the business processes, economies of scale, reduction in overheads, administrative, managerial and other expenditure, organizational efficiency, and optimal utilization of resources which would be beneficial for all members and other stakeholders.

(ii) The combined entity will have a bigger pool of managerial and financial resources ultimately leading to expansion of business, faster execution of large and sophisticated projects ultimately resulting in maximisation of shareholders' wealth.

(iii) The amalgamation among the Companies will lead to elimination of inter-company transactions and balances between the Companies.

(iv) The amalgamation would result into creation of an entity with much larger asset base and net-worth, augmenting the future growth of the Companies and enabling the promoters to unlock consolidated value and have direct involvement / participation in the management of the consolidated entity.

(v) Consolidation of Companies would result in reduction in regulatory and legal compliances and avoid multiple record keeping.

(xix) As on 30.06.2024 there are no secured creditors in Applicant Company 1 to 4 as per the copy of the Certificates dated 8th August, 2024 issued by an independent Chartered Accountant (attached with the Application as **Annexure 'H-1'** to **'H-4'**) certifying that there are no secured creditors in Applicant Company 1 to 4. The Applicant Companies have prayed for dispensing with requirement for convening the meetings of the Secured Creditors of Applicant Company 1 to 4 and also to dispense with the requirement of issue and publication of notices for the same, since there are no Secured Creditors in the Applicant Company 1 to 4.

(xx) As on 30th June, 2024, there are no unsecured creditors in Applicant Company 2 as per the copy of the Certificates dated 8th August, 2024 issued by an independent Chartered Accountant (attached with the

Application as **Annexure 'I-3'**). The Applicant Companies have prayed for dispensing with requirement for convening the meetings of the Unsecured Creditors of Applicant Company 2 and also to dispense with the requirement of issue and publication of notices for the same, since there are no Unsecured Creditors in the Applicant Company 2.

(xxi) As on 30th June, 2024, there are 2 unsecured creditor amounting to Rs.263,10,000/- in Applicant Company 1, 3 unsecured creditor amounting to Rs.12,83,409/- in Applicant Company 3 and 1 unsecured creditor amounting to Rs.30,000/- in Applicant Company 4 as per the copy of the Certificates dated 8th August, 2024 issued by an independent Chartered Accountant (attached with the Application as **Annexure 'I-1', 'I-4'** and **'I-6',** respectively) certifying the list of unsecured creditors in Applicant Company 1, 3 and 4 respectively. The said 2, 3 and 1 Unsecured Creditors, which is 100% in value of respective Unsecured Creditors of Applicant Company 1, 3 and 4 have given their consent in writing by way of affidavit for the Scheme (attached with the Application as **Annexure 'I-2'**, **'I-5'** and **'I-7'** respectively. The Applicant Companies have prayed for dispensing with requirement for convening the meeting of the Unsecured Creditors of the Applicant Company 1, 3 and 4 and also to dispense with the requirement of issue and publication of notices for the same since all the Unsecured Creditors of Applicant Company 1 (comprising 100% in value), Applicant Company 3 (comprising 100% in value) and Applicant Company 4 (comprising 100% in value) have given their consent to the Scheme and towards dispensing their meeting.

(xxii) The Applicant Company 1 has 2 Equity Shareholders including 1 nominee shareholder, Applicant Company 2 has 7 Equity Shareholders including 3 nominee shareholders, Applicant Company 3 has 7 Equity Shareholders including 5 nominee shareholders and Applicant Company 4 has 7 Equity Shareholders including 6 nominee shareholders, as per the copy of the Certificates dated 8th August, 2024 issued by an independent Chartered Accountant certifying the number of Equity Shareholders as on 30th June 2024 (annexed with the Application as **Annexure 'J-1**, **'J-3' 'J-5'** and **'J-7'** respectively and 100%, 99.98%, 100%, and 100% of the Equity Shareholders of the Applicant Company 1,2 3, & 4 (annexed with the Application as **Annexure 'J-2', 'J-4', 'J-6' and 'J-6'** respectively) have given their consent on affidavit along with the board resolution for the Scheme. The Applicant Companies have prayed for dispensing with requirement for convening the meeting of the Equity Shareholders of the Applicant Company 1 to 4 and also to dispense with the requirement of issue and publication of notices for the same since Equity Shareholders of Applicant Company 1 (comprising 100% in value), Applicant Company 2 (comprising 99.98% in value), Applicant Company 3 (comprising 100% in value), and Applicant Company 4 (comprising 100% in value), have given their consent to the Scheme and towards dispensing their meeting.

(xxiii) The Applicant Company 1 has 1 Preference Shareholder as per the copy of the Certificates dated 8th August, 2024 issued by an independent Chartered Accountant certifying the number of preference shareholders as on 30th June 2024 (annexed with the Application as **Annexure 'J-1** and its sole Preference Shareholder has given the consent on affidavit along with

the board resolution for the Scheme (annexed with the Application as **Annexure 'J-2**). The Applicant Companies have prayed for dispensing with the requirement for convening the meeting of the Preference Shareholders of the Applicant Company 1 and also to dispense with the requirement of issue and publication of notices for the same since sole Preference Shareholder of Applicant Company 1 (comprising 100% in value) has given the consent to the Scheme and towards dispensing their meeting;

5. In the hearing dated 30.08.2024, it was noted that Karamyogi Trust is one of the Shareholder in Applicant Company 2, but the resolution of the Trust dated 08.08.2024 bears only the signature of one of the trustee i.e. Mohan Singh and Ld. Counsel for the Applicant Companies were directed to place on record within one week the minutes of the meeting of the said Trust held on 08.08.2024 and depict the objects of the said Trust whether it can involve such merger or some other financial activities. In case Trust is involved in other Applicant Companies, then the same compliance be made by them.

6. The Applicant Companies vide Diary No. 02600/1 dated 09.09.2024, filed Compliance affidavit (taken on record vide order dated 20.09.2024) enclosing therewith (i) the Minutes of the Meeting dated 08.08.2024 of the Karamyogi Trust at Exhibit A; the true copy of the resolution signed by all the Three (3) Trustees at Exhibit B; (iii) the copy of the trust deed dated 03.05.2023 evidencing that there are only three trustee in the Trust at Exhibit C; and copy of the extracts of the object clause of the trust deed at Exhibit D.

7. It is also stated in the affidavit that the Trust is authorized to acquire and hold the shares as per clause 7 of the Trust Deed, which is shown below:

"7. The objects for which this trust is created are the welfare, benefits and betterment of the Members, Beneficiaries, Social, Charitable and CSR activities of the Group that inter-alia includes:

- To encourage efficiency, performance and other merits of the Members or their dependent family members by giving suitable incentives, awards, rewards, scholarships, financial assistance or any other facilities as may be deemed appropriate from time to time;

- To provide relief or assistance for education, medical and other amenities for the betterment of the Eligible Members and dependent family members;

- To raise/invest funds in any securities, instruments or movable or immovable properties or any other form as may be deemed appropriate by the Trustees from time to time;

- To obtain contributions from the Members, in general or for a specific purpose and to allocate funds towards the attainment of the said objectives;

- To provide housing, transportation, medical, canteen or any other facility for the benefit of Members, with or without cost basis;

- Acquiring, holding and disposing of shares, warrants or other securities of various companies including that of the Settlor from Primary market or secondary market as the trustee may decide from time to time;

- Acquiring, holding and disposing of any other movable/immovable asset as the trustee may decide from time to time;

- Giving loans and advances to other entities in such form and manner as may be deemed appropriate by the Trustees from time to time;

- Any other schemes or plans or objects which will directly or indirectly assist encourage/promote welfare of the eligible Members of the Settlor."

It has also been stated that the Trust is not a shareholder in Applicant Company 1, 3 & 4 and in Applicant Company 2, it is only an Equity Shareholder of holding 9198 equity shares (including shares held through its nominees) of Rs.10/- each representing 91.98% of its paid-up Equity Share Capital and the Trust is not a party to the Scheme other than in the capacity of being an equity Shareholder of Applicant Company 2.

8. The Applicant Companies vide above affidavit also submitted at Exhibit E the consolidated table regarding the group structure including the names of the shareholders and percentage of the shareholdings of the Applicant Companies as on 30.06.2024 and at , which is shown below:

EXHIBIT 'E'

(A) GROUP SHAREHOLDING STRUCTURE CONSISTING OF NAMES OF EQUITY SHAREHOLDERS AND SHAREHOLDING PERCENTAGE

Particulars	MyTrident.com Limited (Transferee Co.)		Lotus Corporate Solutions Private Limited (Transferor Co. 1)		Trident EPC Limited (Transferor Co. 2)		Mintleaf People Connect Limited (Transferor Co. 3)	
	No. of Shares	%	No. of Shares	%	No. of Shares	%	No. of Shares	%
Trident Group Limited *	10,000	100%	-	-	-	-	5	0.05%
Mr. Rupinder Gupta *	-	-	10,000	100%	800	8.00%	-	-
Karamyogi Trust	-	-	-	-	9,198	91.98%	-	-
Mr. Davindar Singh Sokhi	-	-	-	-	1	0.01%	-	-
Mr. Jayanta Kumar Saha	-	-	-	-	1	0.01%	-	-
Mr. Rajinder Gupta	-	-	-	-	-	-	7,497	74.97%
Ms. Neha Gupta	-	-	-	-	-	-	2,498	24.98%
Total	**10,000**	**100%**	**10,000**	**100%**	**10,000**	**100%**	**10,000**	**100%**

** Including nominee shareholders*

(B) GROUP SHAREHOLDING STRUCTURE CONSISTING OF NAMES OF PREFERENCE SHAREHOLDERS AND SHAREHOLDING PERCENTAGE

Particulars	Lotus Corporate Solutions Private Limited (Transferor Co. 1)	
	No. of Shares	%
Creativeline Developers Private Limited	21,40,000	100%
Total	**21,40,000**	**100%**

CERTIFIED TRUE COPY

9. The Applicant Companies, vide above affidavit also furnished at Exhibit F the table depicting the details of consent affidavits received from the Shareholders and Creditors of the Applicant Companies along with ground on which exemption from meetings has been sought, which is shown below:

EXHIBIT 'F'

GROUNDS ON WHICH THE EXEMPTION FROM MEETING HAS BEEN SOUGHT

Name of the Applicant Companies	Shareholders along with their consent				Creditors along with their consents					
	Equity Shareholder (A)	Consent of (A) with calculations	Preference Shareholders (B)	Consent of (B) with calculations	Debenture Holders (C)	Consent of (C) with calculations	Secured Creditors (D)	Consent of (D) with calculations	Unsecured Creditors (E)	Consent of (E) with calculations
Applicant Company No.1	2 Equity Shareholders (Including 1 Nominee Shareholder) (Volume III, Annexure J-1, page no 453-455)	1 Equity Shareholder (100%) (Volume III, Annexure J-2, page no 456-460)	1 Preference Shareholder (Volume III, Annexure J-2, page no 461-467)	1 Preference Shareholder (100%)	N/A	N/A	NIL (Volume III, Annexure H-1, page no 411)	N/A	2 Unsecured Creditors (Volume III, Annexure I-1, page no 415-416)	2 Unsecured Creditors (100%) (Volume III, Annexure I-2, page no 417-426)
Applicant Company No.2	7 Equity Shareholders (Including 3 Nominee Shareholders) (Volume III, Annexure J-3, page no 468-470)	2 Equity Shareholders (99.98%) (Volume III, Annexure J-4, page no 471-481)	N/A	N/A	N/A	N/A	NIL (Volume III, Annexure H-2, page no 412)	N/A	NIL (Volume III, Annexure I-3, page no 427)	NIL
Applicant Company No.3	7 Equity Shareholders (Including 5 Nominee Shareholders) (Volume III, Annexure J-5, page no 482-484)	3 Equity Shareholders (100%) (Volume III, Annexure J-6, page no 485-501)	N/A	N/A	N/A	N/A	NIL (Volume III, Annexure H-3, page no 413)	N/A	3 Unsecured Creditors (Volume III, Annexure I-4, page no 428-429)	3 Unsecured Creditor (100%) (Volume III, Annexure I-5, page no 430-445)
Applicant Company No.4	7 Equity Shareholders (Including 6 Nominee Shareholders) (Volume III, Annexure J-7, page no 502-504)	1 Equity Shareholder (100%) (Volume III, Annexure J-8, page no 505-511)	N/A	N/A	N/A	N/A	NIL (Volume III, Annexure H-4, page no 414)	N/A	1 Unsecured Creditor (Volume III, Annexure I-6, page no 446-447)	1 Unsecured Creditor (100%) (Volume III, Annexure I-7, page no 448-452)

	Ground for exemption of meetings of Equity Shareholders	Ground for exemption of meetings of Secured Creditors	Ground for exemption of meetings of Unsecured Creditors
Applicant Company 1	100% consent given	No Secured Creditors	100% consent given
Applicant Company 2	99.98% consent given	No Secured Creditors	No Unsecured Creditors
Applicant Company 3	100% consent given	No Secured Creditors	100% consent given
Applicant Company 4	100% consent given	No Secured Creditors	100% consent given

10. The Petitioner Companies also filed an affidavit vide Diary No. 02600/2 on 17.09.2024 showing the reconciliation of the provisional balance sheet as on 30.06.2024 with the respective list of creditors as on 30.06.2024 in respect of

Applicant Company 1, 3 and 4, which was taken on record vide order dated 20.09.2024.

ANALYSIS AND FINDING

11. Since this is the First Motion Company Application seeking order for dispensation/ convening of the meetings of Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors, the analysis has been limited to that and other issues would be analysed at the time of Second Motion Petition of the Applicant Companies.

12. It is noted that Statutory Auditors of Applicant Company 3 in its report on the financial statements for the year ended 31.03.2024 have mentioned as below:

> **Emphasis of Matter**
>
> We draw attention to Note No. 25 of the financial statements relating to a search under Section 132 of the Income Tax Act, 1961 conducted by the Income Tax Department at the registered office of the Company and residence of two of its key managerial personnel.
>
> Our Opinion is not modified in respect of this matter.

Note No.25 of the financial statements reads as under

> NOTE 25 There is no income that has been surrendered or disclosed as income during the year in Tax Assessments under Income Tax Act,1961.
> In the month of October 2023, the Income Tax Department ('the department') conducted a search under Section 132 of the Income Tax Act, 1961 at the registered office of the Company and residence of two of its key managerial personnel. During the search proceedings, the Company provided necessary information and responses to the department. Also, the department has taken certain documents and data backups for further investigation. The business and operations of the company continued without any disruptions and no demands have been raised on the company as of date. Based on the foregoing and having regards to the matters of inquiry during the search proceedings stated above, management is of the view that no material adjustments are required to be done in audited financial statements.

The Applicant Companies are directed to submit the status of the above matter along with the Second Motion Petition.

13. It is noted that the Applicant Company 2 has Other Current Liabilities, which includes Statutory Remittances amounting to Rs.92,22,000/- as per the provisional financial statements as on 30.06.2024.

14. It is noted that the main objects as per Memorandum of Association of Applicant Company 2 includes dealing in real estates, act as land developers & promoters, carry on the business of developers and colonisers etc., which may fall within the purview of RERA requiring to issue the notice to it.

DIRECTIONS

15. Accordingly, the directions of this Bench in the present case are as under:-

I. In relation to Applicant Company 1:

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding pattern & financial structure of the company and the fact that 100% consent has been received by way of affidavits.

b. The meetings of the Preference Shareholders are dispensed with as the consent of the sole Preference Shareholder by way of affidavits have been received.

c. There are no Secured Creditors; therefore there is no scope of any meeting.

d. The meeting of the Unsecured Creditors is dispensed with as the 100% consent by way of affidavit has been received.

II. In relation to Applicant Company 2:

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding pattern & financial structure of the company and the fact that 99.98% consent has been received by way of affidavits.

b. There are no Preference Shareholders; therefore there is no scope of any meeting.

c. There are no Secured Creditors; therefore there is no scope of any meeting.

d. There are no Unsecured Creditors; therefore there is no scope of any meeting.

III. In relation to the Applicant Company 3

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding pattern & financial structure of the company and the fact that 100% consent has been received by way of affidavits.

b. There are no Preference Shareholders; therefore there is no scope of any meeting.

c. There are no Secured Creditors; therefore there is no scope of any meeting.

d. The meeting of the Unsecured Creditors is dispensed with as the 100% consent by way of affidavit has been received.

IV. In relation to Transferee Company:

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding pattern & financial structure of the company and the fact that 100% consent has been received by way of affidavits.

b. There are no Preference Shareholders; therefore there is no scope of any meeting.

c. There are no Secured Creditors; therefore there is no scope of any meeting.

d. The meeting of the Unsecured Creditors is dispensed with as the consent of the sole Unsecured Creditor by way of affidavit has been received.

16. As prayed for, the Applicant Companies shall individually and in compliance of sub-Section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Official Liquidator (iv) Income Tax Department through the Nodal Officer – Principal Commissioner of Income Tax, NWR, Aayakar Bhawan, Sector 17-E, Chandigarh by mentioning the PAN number of the Applicant Companies; (v) Government Authorities, to whom the statutory dues are payable as per the financial statements of the Applicant Company 2; (vii) RERA of the relevant States, where the projects of the Applicant Company are located (viii) such other Sectoral Regulator(s) governing the business of the Applicant Company, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the applicant company, failing which it shall be presumed that they have no objection to the proposed Scheme. Fact about waiver of the meeting of Equity & Preference Shareholders and Secured & Unsecured Creditors be also stated in the notice. The notice would also be placed on the website of the Applicant Companies.

17. In view of the above, the First Motion Company Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition.

Sd/-
(UMESH KUMAR SHUKLA)
MEMBER (TECHNICAL)

Sd/-
(HARNAM SINGH THAKUR)
MEMBER (JUDICIAL)

October 22, 2024

RHD